

complaint

Mr H and Mrs S's complaint is about UK Insurance Limited's handling of their claim under their Home Insurance Policy.

background

Mr H and Mrs S suffered a flood in their home. They were unhappy with many aspects of the way UKI handled their claim. They made an earlier complaint about delay, which resulted in UKI paying them £650 in compensation. UKI has since offered additional compensation bringing the total to £2,250.

Our adjudicator felt that UKI had not dealt fairly and reasonably with all aspects of the claim and recommended that it appoint a new independent surveyor to report on the damage. She also recommended that UKI pay any alternative accommodation costs, travel expenses and postal redirection costs that hadn't been paid. She didn't recommend any additional compensation.

Mr H and Mrs S would have preferred a surveyor who had previously been involved to be used and said they didn't want the loss adjusters to be involved in the selection of a new surveyor or the scope of work or tendering process. They also wanted other aspects of their complaint to be upheld and additional compensation.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

A few months after the flood, Mr H and Mrs S provided a schedule of works and quote for £25,937. A few months later, they said they were instructing a structural engineer and this led to a revised schedule of works and two revised quotes for approximately ten times as much. UKI arranged a formal tender process with Mr H and Mrs S's surveyor and this led to quotes for £161,617.90 and £59,272. UKI wanted to use the lower quote. Mr H and Mrs S were unhappy because the contractor who submitted this quote hadn't inspected the interior of the building.

This is an unusual situation. An initial quote was replaced by quotes for around ten times as much. And these were followed two much lower quotes which were themselves 270% apart. That doesn't look like a reliable process to me. And I don't think it was reasonable for UKI to insist on using a quote after it became clear it hadn't involved a full inspection of the property. I think the adjudicator's suggestion of using a new independent surveyor is the right one.

The surveyor should be selected by Mr H and Mrs S from a list of three drawn up by UKI. The terms of appointment and scope of work should be seen by Mr H and Mrs S in advance but should be to report on the scope of work required under the policy to repair the damage caused by the flood and the amount of work still outstanding. UKI should pay for the surveyor's report which should be jointly addressed to UKI and Mr H and Mrs S. I don't think Mr H and Mrs S need have any concerns about potential conflicts of interest involving the loss adjusters as the main part of the scope of the appointment is set out here and they will be protected by the professional duties the surveyor will owe them.

It's clear that there were areas where UKI was responsible for causing Mr H and Mrs S avoidable uncertainty and confusion, in particular around payments for alternative accommodation. And there is good evidence that Mr H and Mrs S have found the claims process very stressful and that it may have had an impact on their health. But I also think that the history of wildly differing quotes on this claim was always going to make it complicated and I don't think UKI can be held solely responsible for this claim taking as long as it has. In deciding compensation, we also need to distinguish between the problems policy-holders suffer as an inevitable result of the events that gave rise to the claim and the time it takes to get things resolved and additional problems caused by the insurer. In the circumstances, I think the compensation already offered to Mr H and Mrs S is fair.

Mr H and Mrs S have been unhappy with several other aspects of UKI's claims handling.

About a year after the flood, Mr H and Mrs S threw out items of furniture and furnishings on the first floor of the property which they said had been damaged by the flood and its after effects. UKI declined to pay for these items as it said there was no evidence that items on the first floor of the house could have been affected by the flood and UKI's position had been prejudiced by these items being disposed of without its approval.

I think this was a reasonable position for UKI to take. It's an important condition of the policy that damaged property isn't thrown away without the insurer having an opportunity to inspect it before it has to pay out and it is hard to see how items on the first floor could have been damaged by a flood on the ground floor.

Mr H and Mrs S also complained that UKI declined to cover their legal costs of suing the water company for not taking proper preventative measures following a flood some years earlier. They pointed at language in the policy which covered '*legal and other professional fees*'. But I think, in the context within the policy, it's clear that this is restricted to legal fees which arise directly as a result of the damage. Here, Mr H and Mrs S were looking to incur fees in order to get damages from someone else, not to deal directly with the damage to their property.

Another element of the complaint was that the delay in handling the claim meant that Mr H and Mrs S were unable to benefit from a government grant scheme that would have been worth up to £5,000 of work to make their house secure from future flooding. UKI has argued that they wouldn't have been eligible for this grant as their claim was for an escape of water rather than flood. I don't think that's right. Its own loss adjuster described the cause of the damage as '*a period of torrential rainfall which resulted in drains backing up and forcing off the manhole cover and allowing sewage to flood the garden and enter the rear of the Property through the air bricks*'. I think that's flood.

But I don't think Mr H and Mrs S have been able to show that they would have been entitled to this grant, and would have obtained it, if the work had been carried out in time. So, I don't think it would be fair for me to uphold this aspect of the complaint.

UKI has defended its handling of the claim by saying that it had concerns that aspects of the claim had been fraudulently exaggerated. These seem to be restricted to the fact that Mr H and Mrs S had previously applied for planning permission to knock their house down and develop the site. And some features of the alternative accommodation appeared unusual and caused UKI concern that Mr H and Mrs S might not actually be using the alternative accommodation.

The fact that planning permission has been applied for, or even obtained, has no bearing on the question of fraud. Planning permission may be applied for without any current intention of redevelopment. It may be to increase the value of the property on sale; it may just be to explore options and find out what might be possible. In any event, as the property had been damaged by an insured event, Mr H and Mrs S were entitled to have the damage made good under their policy.

It would have been very easy for UKI to find out whether Mr H and Mrs S were living in the alternative accommodation by visiting it. But it didn't; it focussed on background checks and speculation.

I don't think there were any fraud concerns that could have provided a reasonable cause for the delay in handling the claim. To the extent it hasn't already, I think UKI should pay all insurance related cost accruing from the date of the flood to the date of settlement. That includes all alternative accommodation payments, the additional travel costs Mr H and Mrs S have incurred and postal redirection cost. These should be paid in accordance with the remaining policy terms and conditions except for any time limits. I don't think it's fair for UKI to rely upon time limits (as it has sought to do for postal redirection costs) when the deadlock that caused them to be exceeded was partly UKI's fault.

my final decision

My final decision is to uphold the complaint in part.

UK Insurance Limited should pay for an independent surveyor to report jointly to it and Mr H and Mrs S on the scope of work required under the policy to repair the damage caused by the flood and the amount of work still outstanding. The surveyor should be RICS accredited and selected by Mr H and Mrs S from a list of three provided by UKI. UKI should settle the claim in accordance with the surveyor's report.

If the settlement takes the form of a cash payment, UKI should pay interest at 8% simple per annum from the date of loss to the date of payment. If it considers it is legally required to deduct income tax from any interest, UKI should send Mr H and Mrs S a tax deduction certificate so that they can reclaim the tax if they are able to.

UKI should pay all outstanding insurance related costs incurred by Mr H and Mrs S, including payments for alternative accommodation, travel expenses and postal redirection, in accordance with the remaining policy terms and conditions except for time limits.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr H and Mrs S to accept or reject my decision before 14 March 2016.

Jonathan Coppin
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